

COTTON ANALYSIS REPORT: GLOBAL, INDIA & TAMIL NADU (2024–2026)

Global Cotton Overview

The global cotton market is currently characterized by firm baseline support, driven by geopolitical realities, supply chain frictions, and inflation in agricultural inputs. As of Q2 2026, the market has transitioned away from the massive surpluses of previous years into a more tightly balanced environment. Energy sector volatility, specifically disruptions around key maritime chokepoints, has increased the cost of synthetic alternatives like polyester, ensuring that global demand for natural fiber remains highly resilient.

Production, Demand, and Stock Trends

For the 2025/26 season, global production has been revised slightly upward to 26.5 Million Metric Tons (MMT). Concurrently, global mill-use (demand) is sustained at 25.9 MMT. This near-parity prevents significant stock accumulation, with ending stocks projected at 16.8 MMT. Crucially, a large portion of these ending stocks resides in inaccessible state reserves, making the functional commercial free-float much tighter than the headline numbers suggest.

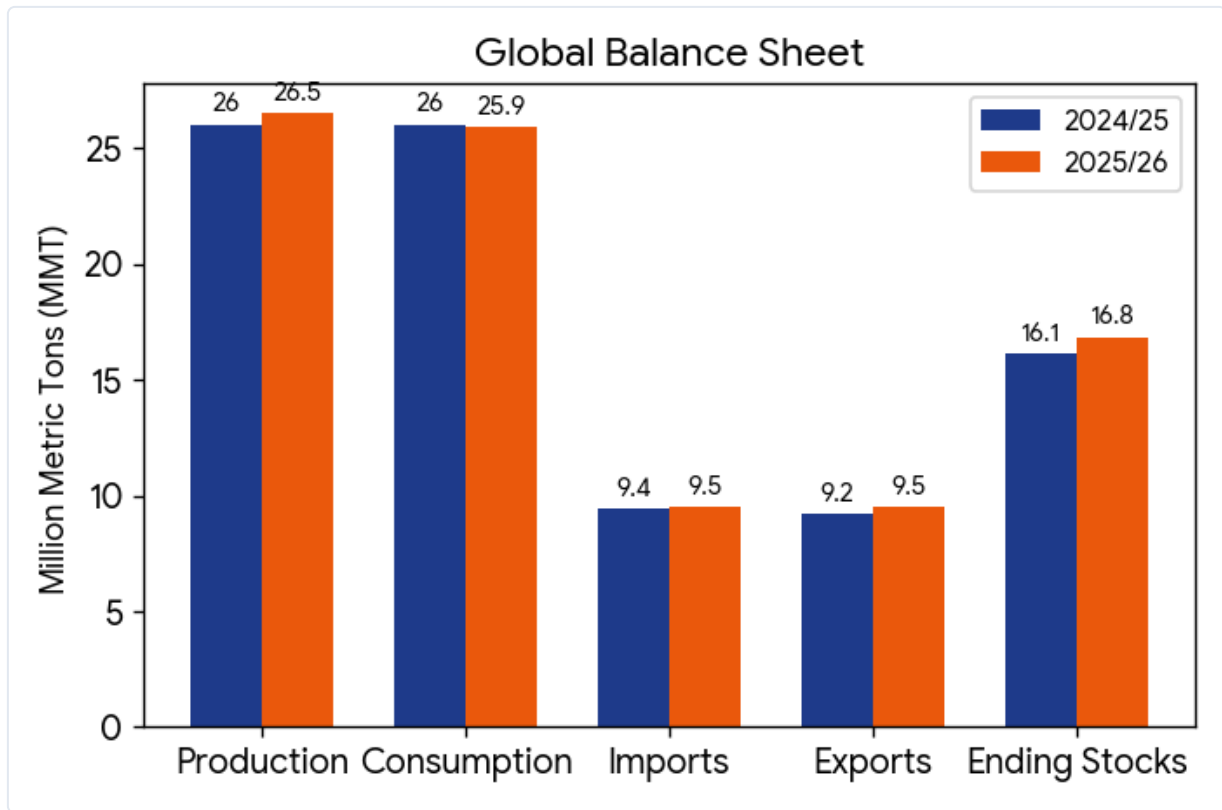
Key Insights for Market Participants

- **Structural Price Support:** High fertilizer and diesel costs establish an elevated break-even price for farmers globally, creating a high "floor" for international benchmark prices.
- **Speculative Inflows:** Managed money and speculative funds have aggressively covered their historical short positions, transitioning to a net-long stance and injecting upward momentum into ICE futures.
- **Regional Imbalances:** While global numbers suggest a mild surplus, localized deficits in massive spinning hubs (such as India) are forcing robust international trade flows and driving up landed premiums.

Global Balance Sheet (2024-25 vs 2025-26)

A comparative look at the global balance sheet illustrates the market's recovery and stabilization. All figures are presented in Million Metric Tons (MMT).

Year	Production	Consumption	Imports	Exports	Ending Stocks
2024/25	26.0	26.0	9.4	9.2	16.1
2025/26	26.5	25.9	9.5	9.5	16.8



Growth % Analysis & Explanation

Production (+1.9%): This growth stems from a slight recovery in yields across the US and Brazil, offsetting acreage lost to competing crops due to margin pressures.

Consumption (-0.4%): A marginal contraction reflecting persistent macroeconomic inflation, which continues to squeeze retail apparel margins globally.

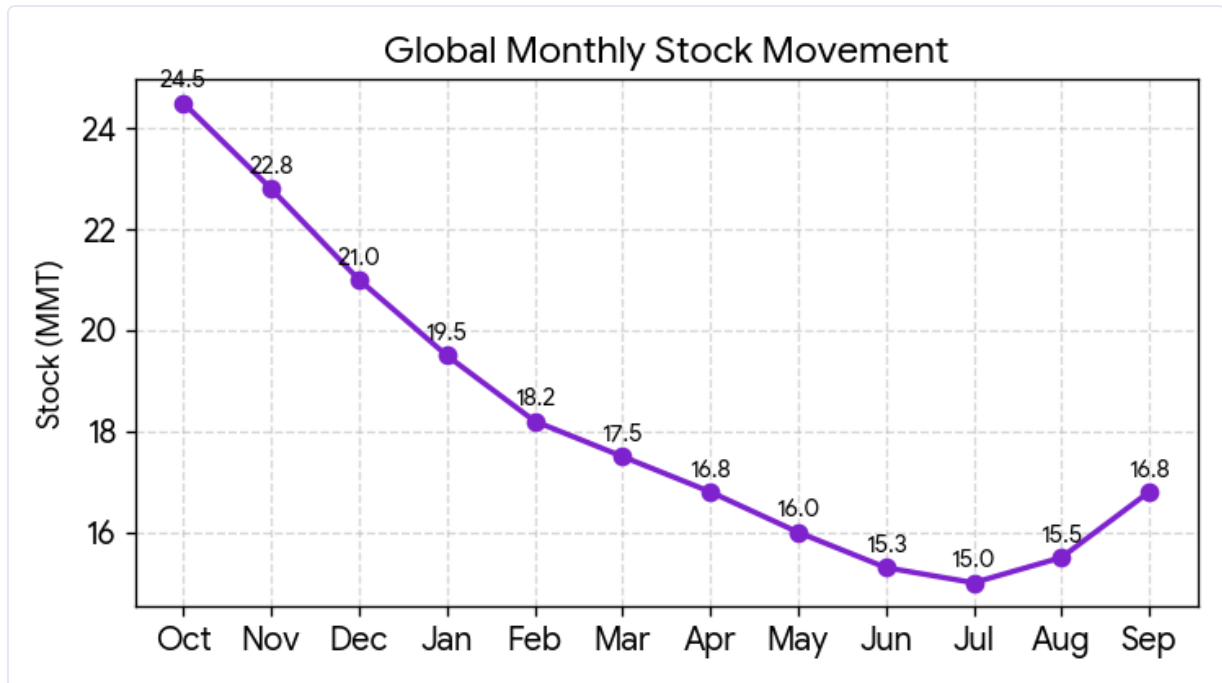
Trade Flows (+3.2%): Both imports and exports have grown in tandem. This signifies that global mills are increasingly reliant on international shipping to resolve their localized supply deficits.

Ending Stocks (+4.3%): Total stocks increased to 16.8 MMT, providing a logistical buffer against supply chain delays, though much of this remains concentrated in Asian state reserves.

Monthly Stock Transition Analysis

The following details the monthly physical pipeline drawdown, mapping the transition from the peak harvest season through the commercial lean season.

Month	Previous Month Stock (MMT)	Current Month Stock (MMT)	Difference
Nov	24.5	22.8	-1.7
Dec	22.8	21.0	-1.8
Jan	21.0	19.5	-1.5
Feb	19.5	18.2	-1.3
Mar	18.2	17.5	-0.7
Apr (Cur)	17.5	16.8	-0.7
May	16.8	16.0	-0.8
Jun	16.0	15.3	-0.7



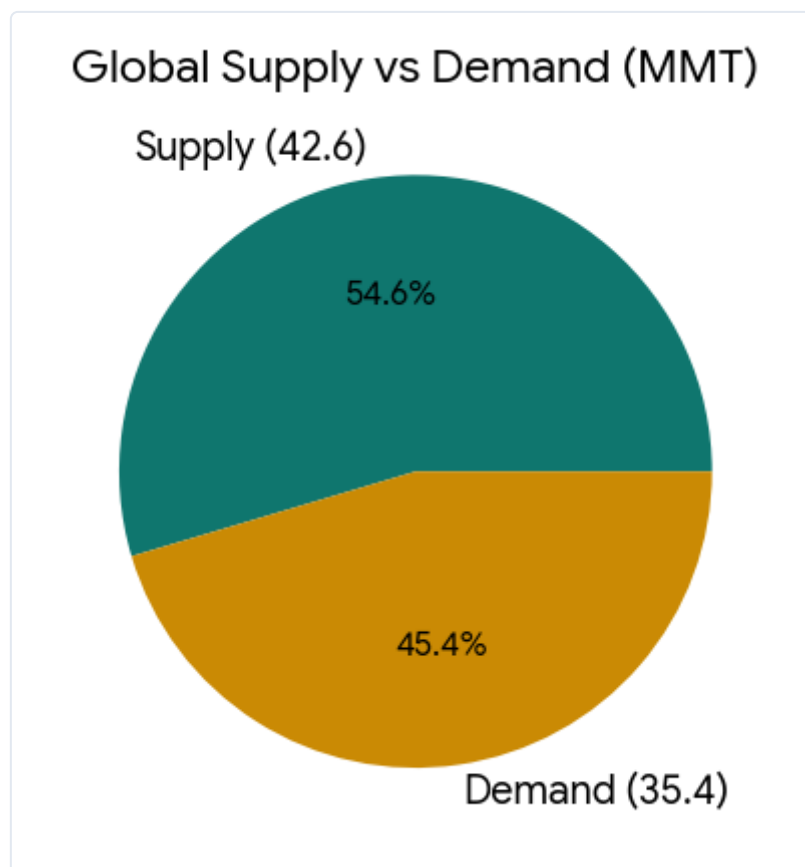
Increase / Decrease Analysis

The data clearly highlights two distinct market phases. Between November and February, the global market sees an aggressive drawdown (-1.3 to -1.8 MMT per month) as spinning mills heavily procure forward cover. By April, the depletion rate stabilizes and flattens out. This deceleration signals the

Macro Supply and Demand Dynamics

Evaluating total available supply against physical disappearance highlights the underlying tension in the market.

Category	Volume (MMT)
Total Supply (Beg. Stocks + Production)	42.6
Total Demand (Consumption + Exports)	35.4



Surplus / Deficit Analysis

From a purely mathematical standpoint, the global market runs a gross surplus of roughly 7.2 MMT (represented as ending stocks). However, this surplus requires strict contextualization. Because major consumer nations maintain massive strategic reserves that do not enter the free commercial market, the actual "tradeable" surplus available to spinning mills is highly restricted.

Market Interpretation

This structural reality acts as a strong foundation for current price levels. Spinners must continuously compete for available export capacities from origins like the US, Brazil, and Australia. Therefore,

Stock Ownership Distribution

The entity holding the physical inventory heavily dictates market liquidity and price elasticity.

Sector	Estimated Volume (MMT)	% Share
Mills	6.72	40%
Traders	5.04	30%
Ginners	2.52	15%
Farmers	2.52	15%



Insight Paragraph

Textile mills command the largest share (40%) of global physical stocks, maintaining deep forward cover to insulate their operations from logistical shocks. Traders and international merchants hold a substantial 30%, functioning as the essential bridge for global trade flows. Notably, farmers hold only 15% globally, indicating that the majority of the current harvest has already transitioned into commercial pipelines. Consequently, future price discovery is dictated by merchant asking prices rather than farmer selling pressure, inherently providing strong upside support.

India's Role in Global Cotton

India is the critical fulcrum of the global cotton matrix. As the world's second-largest producer and consumer, its domestic balance sheet sends immediate ripples through global benchmark pricing. For the 2025/26 season, India exhibits a structural deficit: domestic consumption (25.5 Million Bales) significantly outpaces domestic production (23.8 Million Bales). Consequently, India's role has shifted aggressively toward being a net importer, absorbing 4.2 Million Bales from the global market.

Key Market Trends

- **Import Dependency:** The massive 40% year-over-year surge in Indian imports is the defining characteristic of the 2025/26 season.
- **Firm Local Prices:** Indian spot prices (e.g., Shankar-6) remain exceptionally firm, closely trailing international parity.
- **Reduced Export Footprint:** India's raw cotton exports have contracted sharply to 1.2 Million Bales to reserve fiber for value-added manufacturing.

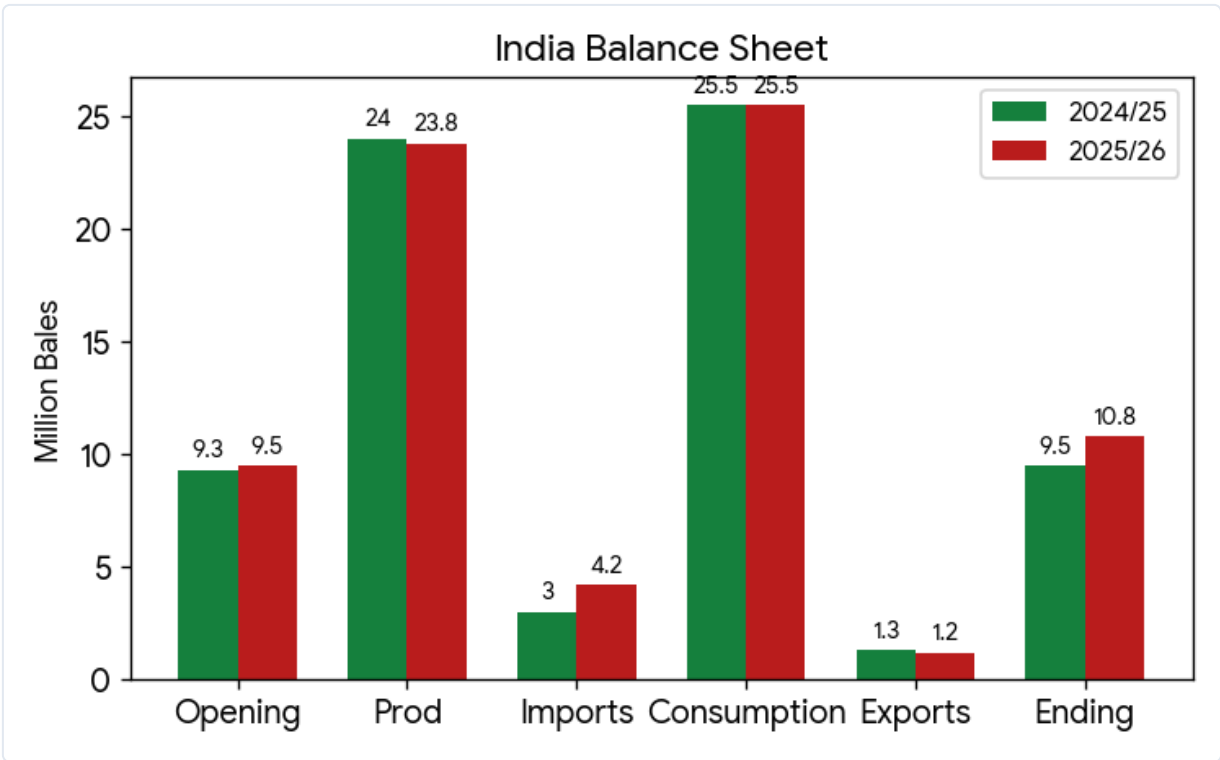
Tamil Nadu Importance (Textile Demand Center)

Tamil Nadu (TN) is the undisputed textile engine of India, housing approximately 45% of the nation's spinning capacity. However, TN produces a negligible amount of cotton (approx. 0.5 Million Bales). The state's massive spinning infrastructure—centered around Coimbatore, Tirupur, and Dindigul—requires over 11.5 Million Bales annually. This immense disparity makes TN the primary demand driver within India, heavily reliant on inter-state arrivals from Gujarat and Maharashtra, as well as international imports arriving via VOC Port (Tuticorin).

Domestic Fundamentals

The Indian balance sheet reveals a structural reliance on imports to sustain its massive domestic spinning capacity. All figures below are in Million 480 lb. Bales.

Year	Opening Stock	Production	Imports	Total Supply	Consumption	Exports	Ending Stock
2024/25	9.3	24.0	3.0	36.3	25.5	1.3	9.5
2025/26	9.5	23.8	4.2	37.5	25.5	1.2	10.8



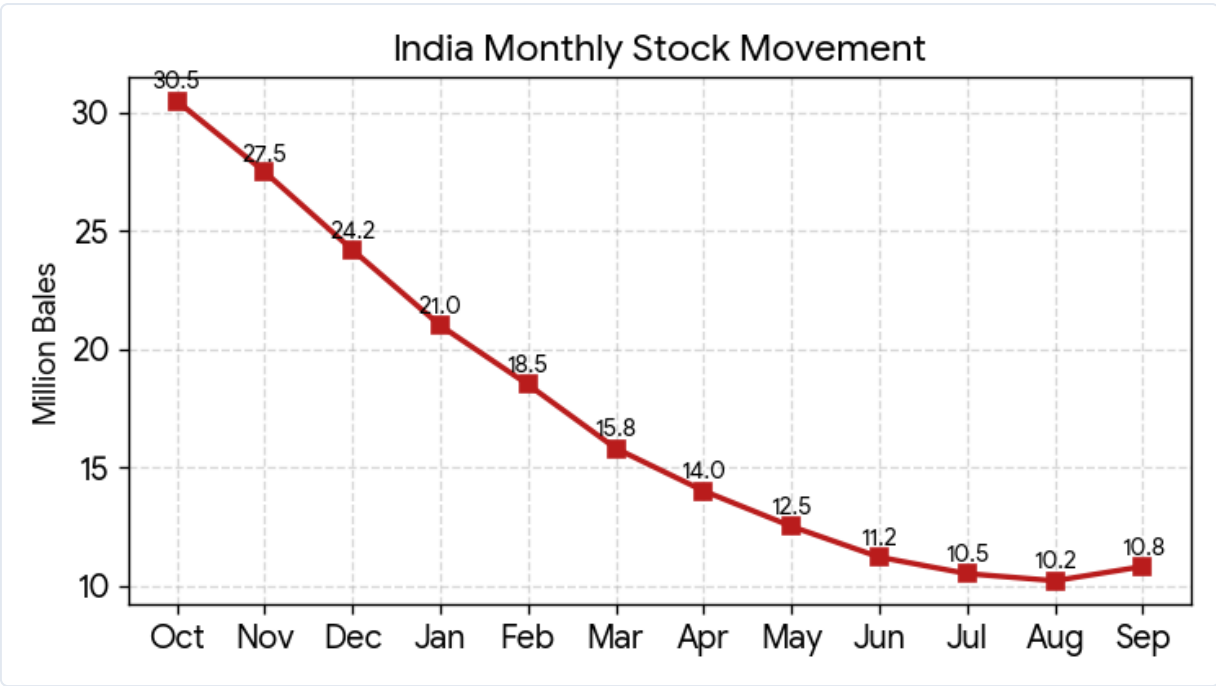
Analysis Paragraph

The core narrative of the 2025/26 Indian balance sheet is the widening gap between production (-0.2 MB) and the rigid consumption floor (25.5 MB). To avoid catastrophic stockouts and hyperinflation in domestic yarn prices—which would devastate the Tamil Nadu spinning cluster—imports have expanded significantly from 3.0 to 4.2 MB. This influx of foreign fiber successfully inflates Total Supply, allowing Ending Stocks to build slightly to 10.8 MB ahead of the volatile monsoon season.

Monthly Depletion Curve

The Indian market operates on an October-September cycle. The following tracks the physical pipeline drawing down.

Month	Previous Stock (MB)	Current Stock (MB)	Difference
Jan	24.2	21.0	-3.2
Feb	21.0	18.5	-2.5
Mar	18.5	15.8	-2.7
Apr (Cur)	15.8	14.0	-1.8
May	14.0	12.5	-1.5
Jun	12.5	11.2	-1.3



CURRENT STOCK VALUE (LATEST ESTIMATE)

As of April 2026, the estimated available physical stock in India is 14.0 Million Bales.

Monthly Comparison

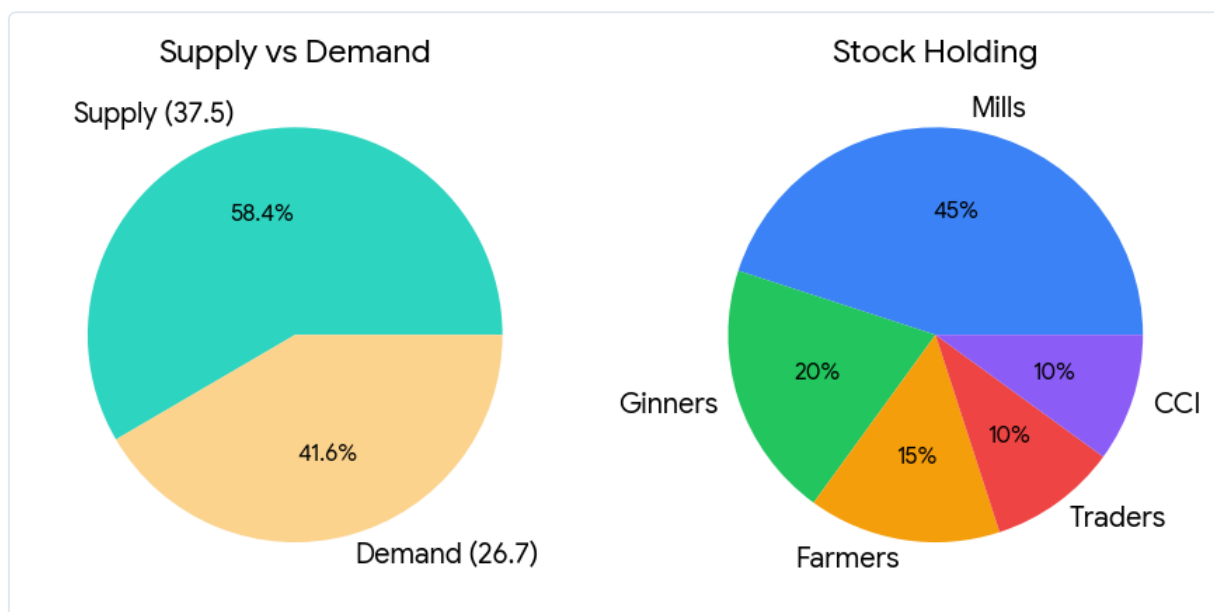
The transition from March to April marks the definitive end of peak mandi arrivals in the central zones. The drawdown rate drops from -2.7 MB to -1.8 MB. As the domestic market hits 14.0 MB, physical basis levels will strengthen. Southern mills (Tamil Nadu) are already reporting scarcity in high-quality, contamination-free lots, forcing them to rely heavily on contracted imports arriving in May and June.

Supply vs Demand Breakdown

Category	Volume (Million Bales)
Total Supply (Opening + Prod + Import)	37.5
Total Demand (Consumption + Export)	26.7

Stock Holders Breakdown

Holder	Volume (Million Bales)	% Share
Mills	6.30	45%
Ginners	2.80	20%
Farmers	2.10	15%
Traders	1.40	10%
CCI (Govt)	1.40	10%



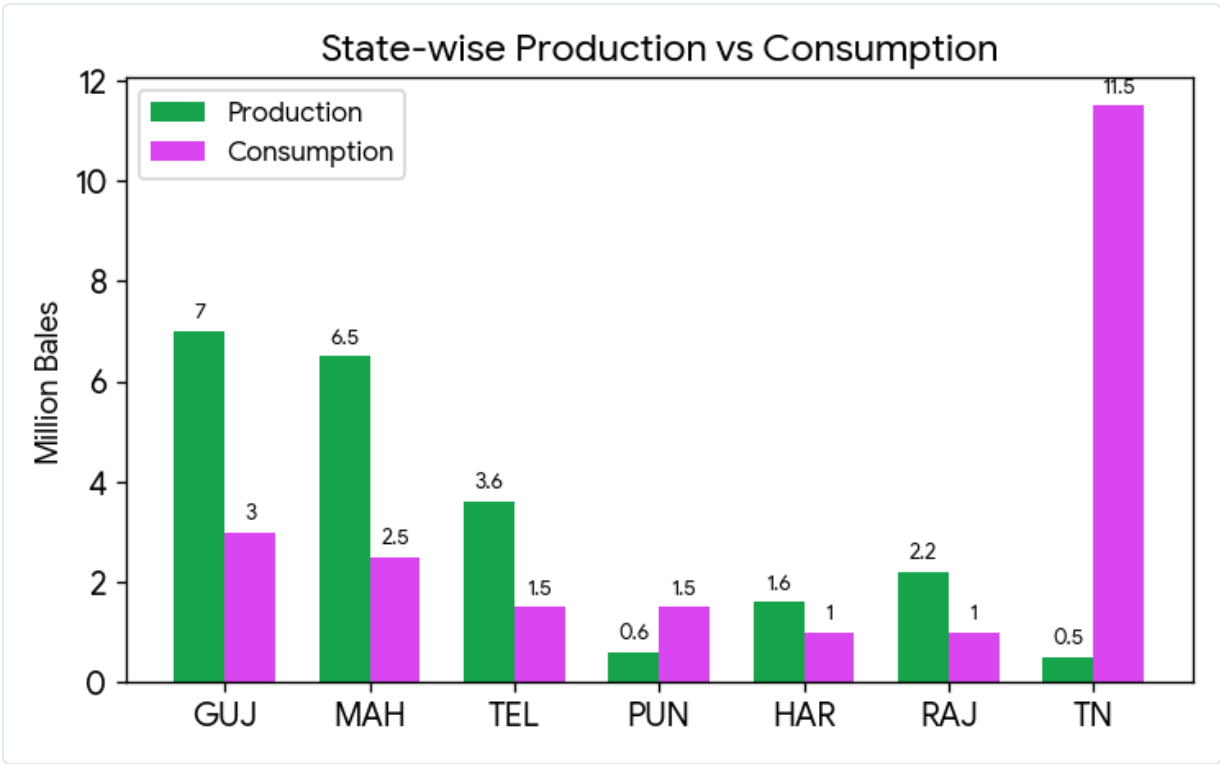
Comparative Insights

Indian mills hold an aggressive 45% of available stocks. This defensive posture is a direct reaction to the production deficit and the increasing cost of imports. The Cotton Corporation of India (CCI) holds roughly 10%, serving as a critical buffer for MSME spinning units. Farmers retain 15%, practicing staggered selling to maximize price realization ahead of the monsoon.

Regional Production vs Consumption

India's output is heavily concentrated in the central/western belts, while consumption is deeply skewed toward the south.

State	Production (MB)	Consumption / Mills (MB)	Stock Holding Profile
Gujarat	7.0	3.0	High Mill/Trader Holding
Maharashtra	6.5	2.5	Mixed Farmer/Ginner Holding
Telangana	3.6	1.5	Rapid Local Mill Use
Rajasthan	2.2	1.0	Trader/Ginner Holding
Haryana	1.6	1.0	Predominantly Mill Holding
Punjab	0.6	1.5	Deficit, Mill Holding
Tamil Nadu	0.5	11.5	Massive Deficit, Mill Holding



Tamil Nadu Detailed Focus

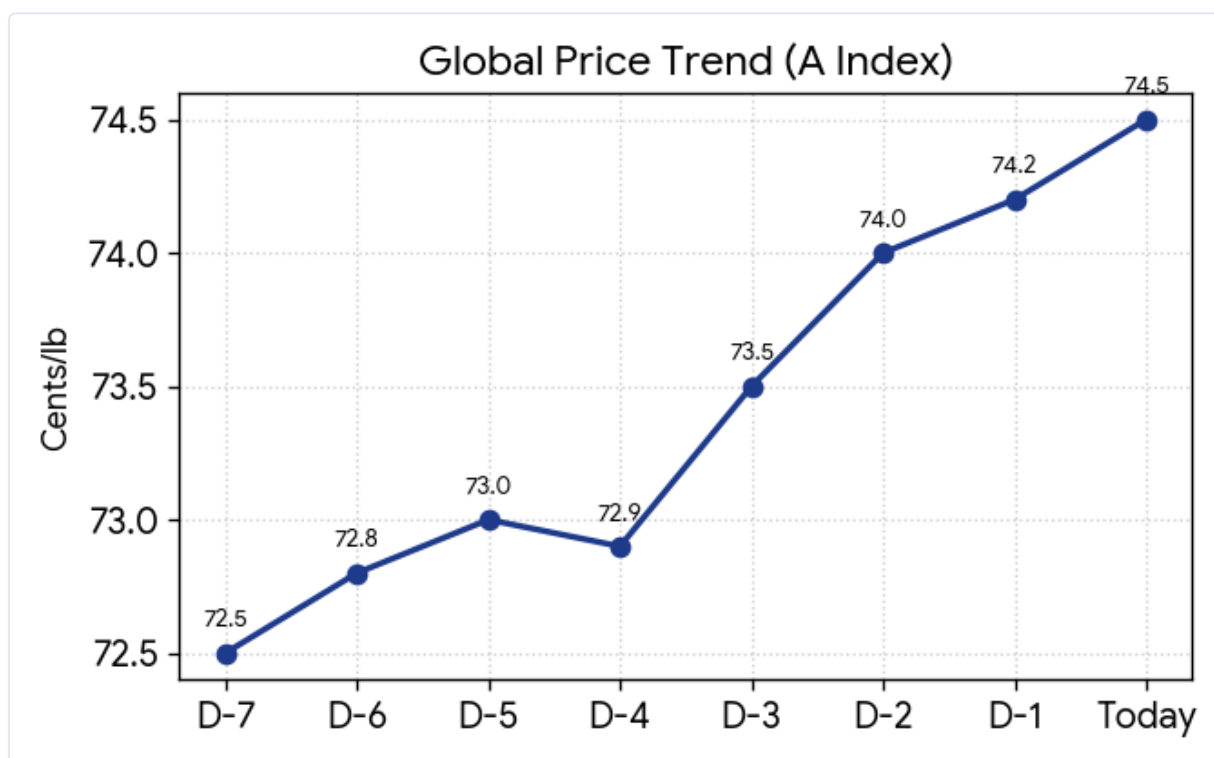
Textile Mill Demand & Yarn Production: Tamil Nadu consumes an astounding 11.5 Million Bales annually against a production of just 0.5 MB. The region is the backbone of India's yarn and knitted

Latest Global Updates

- **Geopolitical Supply Chain Shocks:** Ongoing unrest in the Strait of Hormuz continues to inflate freight rates and delay shipments. This has simultaneously raised the cost of polyester, ensuring cotton demand remains inelastic.
- **Speculative Funding:** Market data reveals a massive short-covering rally, with managed money flipping to a net-long position, providing severe upward pressure on ICE futures.
- **Weather & Crop Progress:** Dryness in West Texas remains a critical focal point, threatening high-grade US export availability for the 2026/27 cycle.

Daily Price Table (Last 8 Days)

Date	Price (A Index c/lb)	Change
D-7	72.5	-
D-5	73.0	+0.5
D-3	73.5	+0.5
D-1	74.2	+0.7
Today	74.5	+0.3



Market Interpretation

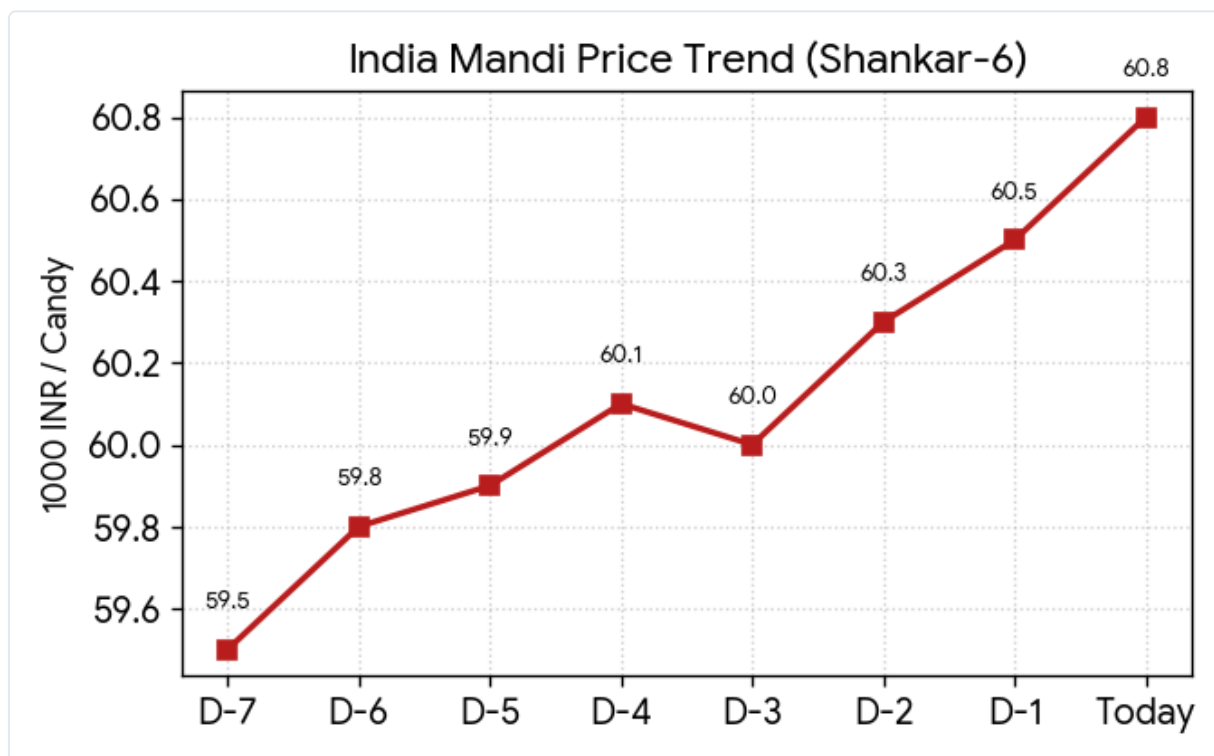
The steady upward trajectory in the A Index reflects the culmination of high input costs, logistical premiums, and speculative buying. The market has found a firm floor above 72 cents and is actively testing overhead resistance levels.

Latest India & Tamil Nadu Updates

- **Mandi Arrivals Tapering:** Daily arrivals across Gujarat and Maharashtra have plummeted, indicating the commercial harvest is essentially complete.
- **CCI Liquidations:** The CCI is strategically releasing small volumes to MSME mills. However, allocations to southern mills (TN) face logistical hurdles.
- **Tamil Nadu Mill Demand:** The Southern India Mills' Association (SIMA) reports that local spinners are operating with heavily compressed margins. With Shankar-6 prices rising, many TN mills are aggressively looking at imported West African and Australian cotton to maintain blend quality.

Daily Price Table (Shankar-6)

Date	Mandi Price (1000 INR/Candy)	Change
D-7	59.5	-
D-5	59.9	+0.4
D-3	60.0	+0.1
D-1	60.5	+0.5
Today	60.8	+0.3



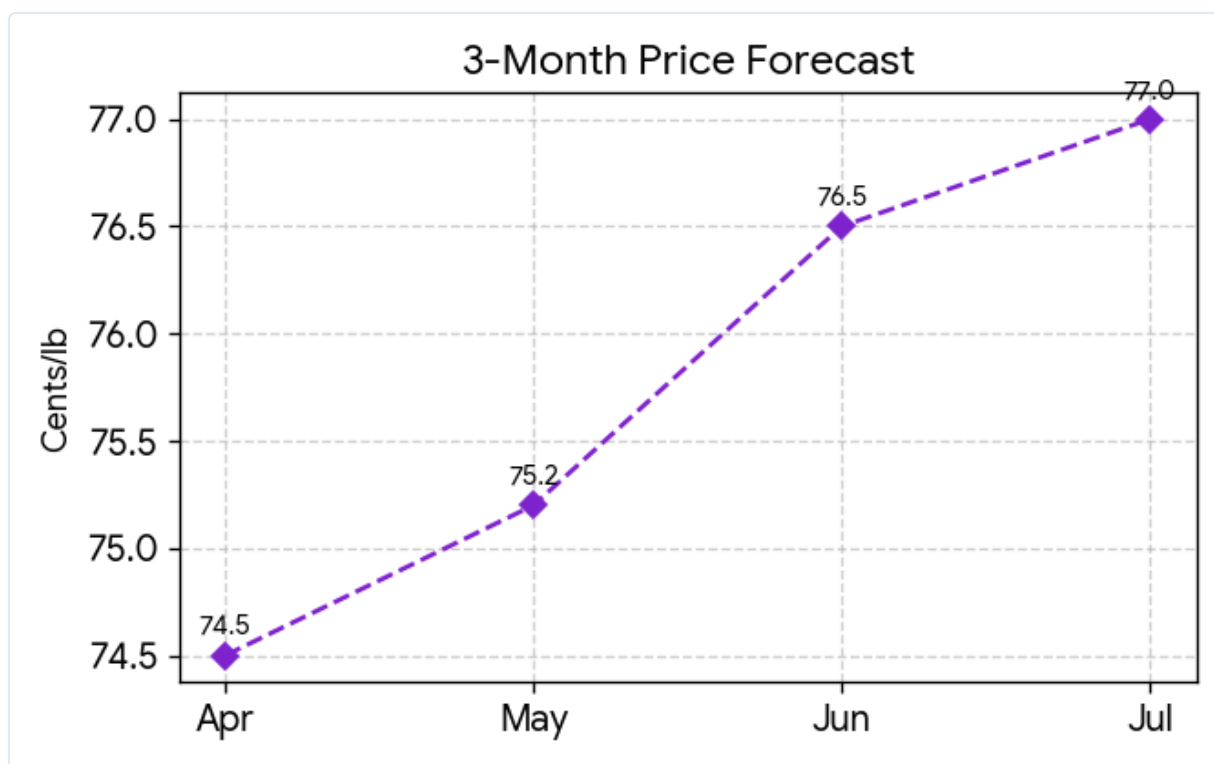
| Impact on Traders & Mills

For traders, shorting the physical market is highly dangerous given the firm holding patterns. For mills, particularly those in Tamil Nadu, the focus has shifted entirely to margin protection. They must either raise yarn prices or rely on correctly hedged import contracts to survive the impending lean season.

Short-Term Trend Estimations

Based on depletion velocities and technical momentum, the 3-month outlook favors continued firmness.

Month	Global Stock Est. (MMT)	Demand Flow	Price Trend Forecast
Apr (Cur)	16.8	Steady	Firm (74.5 c/lb)
May	16.0	Steady	Upward (75.2 c/lb)
June	15.3	Accelerated	Bullish (76.5 c/lb)
July	15.0	Peak Lean	Bullish (77.0 c/lb)



Month Comparison

The progression from May into July correlates perfectly with the deepest phase of the physical lean season. With high-quality lots disappearing from the market, basis levels will strengthen, and futures will incorporate an escalating weather premium. Any delay in the Indian monsoon or failure of US rains will accelerate this trend drastically, forcing panic buying among under-covered mills.

| Meteorological Conditions

Rainfall & Temperature Status

Global weather modeling is indicating a transition toward La Niña. While this historically supports the Indian Southwest Monsoon, current pre-monsoon temperatures in Central India have been exceptionally high, heavily depleting soil moisture reserves. Conversely, the US Southwest faces a severe, persistent drought.

Risk Factors & Production Impact

- **United States:** The lack of subsoil moisture in West Texas threatens massive abandonment rates. If May rains fail, global supply models will lose substantial high-grade fiber volumes, triggering immediate price spikes.
- **India:** The 2026/27 sowing entirely depends on the timely onset of the monsoon in early June. Given the current tight balance sheet, a delayed monsoon will ignite panic buying by domestic mills.

| Upcoming Risks

Because the current market operates in a functional deficit (excluding state reserves), there is zero margin for error. A weather anomaly will immediately transform the current "cost-push" rally into a severe "supply-shock" bull market, deeply impacting the profitability of the textile sector.

| Future Prediction

Short-Term (1-3 Months): Volatile, upward-trending market. Geopolitical risk premiums and the physical lean season will force prices higher globally.

Medium-Term (3-6 Months): Price action depends entirely on weather. Assuming normal weather, prices will plateau as new Northern Hemisphere crops arrive in October. If weather fails, expect explosive breakouts.

| Strategic Procurement

Trader Strategy

Utilize a "Buy-on-Dips" approach. The massive shift in speculative positioning dictates the market has strong underlying support. Accumulate long positions during technical pullbacks and monitor INR/USD currency pairs carefully.

Mill Purchase Planning (Focus: Tamil Nadu Mills)

Mills in Coimbatore, Tirupur, and across TN must secure 60-90 days of forward physical cover immediately. The availability of clean, contamination-free domestic cotton from Gujarat will evaporate by late May. Execute forward import contracts now via VOC Port (Tuticorin) for July/August delivery to bridge the massive 11.5 MB supply gap.

Risk Management & Opportunity Zones

Mills should execute currency hedges against import contracts. Opportunity zones exist for mills that can pivot to dynamic blending (cotton-polyester); by managing the blend ratio dynamically, they can protect spinning margins during severe raw cotton price spikes.